Staying in sync with the rapidly changing Indian TV market

In conversation with **Mr Avneet Marwah,** CEO of SPPL

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The Indian television industry is undergoing a seismic transformation. Traditionally dominated by offline channels and conventional cable TV, the market is swiftly shifting towards online platforms and Over-The-Top (OTT) streaming services. With OTT platforms surpassing traditional cable in both growth and revenue per user (ARPU), Indian consumers are increasingly demanding larger TVs packed with the latest features, all while remaining highly price-conscious. The market is hot, the competition is fierce, and brands are racing to capture the attention of savvy consumers.

Super Plastronics Pvt Ltd (SPPL), a veteran in the industry, has witnessed this evolution firsthand and holds a keen understanding of consumer preferences. We sat down for a chat with Mr. Avneet Marwah, CEO of SPPL, to delve into these trends and explore how his company is navigating the rapidly changing landscape of the television industry in India.

Q How was the festive season, and what trends have you observed in customer preferences for TVs?

A Over the last two years, we've seen a drastic shift from smaller TV sizes to bigger ones across both urban and rural India. The market, once driven by a "cheap and best" mindset, has moved towards premiumisation. Specifically, there's been a significant shift from 32-inch models to 43-inch and 55-inch models. I believe that within a year, the 55-inch will become the new 32-inch.

This shift is primarily due to the high penetration of televisions and the rise of OTT streaming services. Customers are upgrading to bigger sizes or replacing old TVs to enhance their viewing experience with high-definition content available online. As a result, larger screen sizes are growing in popularity, while smaller sizes, especially 32-inch TVs, are experiencing a significant decline. Brands need to focus on revenue growth through higher Average Selling Prices (ASP) rather than unit sales, as unit-wise there might be a de-growth in the coming years.

Q With platforms like Amazon and Flipkart affecting margins, have you considered adopting a Direct-to-Consumer (D2C) model? What challenges do you foresee with this shift?

A Yes, we have started exploring the D2C model. Initially planned a few years ago, our focus shifted due to the COVID-19 sales surge. Currently, D2C contributes about 3-4% of our total revenue and is growing daily. However, competing with top e-commerce platforms is challenging because they offer significant discounts, exchange offers, and 10-day replacement policies, especially during festive seasons.

For small-ticket items like smartwatches and speakers, D2C is more feasible due to lower shipping and replacement costs. However, for volumetric products like TVs, the logistics and costs associated with returns are substantial. Consumers have become accustomed to the conveniences